see price rise in a falling market. I would expect that when price struggles against a headwind (such as in bear markets), it wouldn't rise as far (meaning more failures), but that's not what happens.

Average rise after D. I measured the average rise for Gartleys from the low at D to the ultimate high. Patterns in bull markets performed better than did those in bear markets. That makes sense.

Volume trend, performance. I used linear regression to determine the volume trend from the start of the pattern to the end. Volume trends downward most often. I checked if performance was better when volume sloped upward or downward, and there's not much of a difference in bull markets. Bear markets give the performance edge to those patterns having a downward volume trend.

Trading Tactics

The idea behind the bullish Gartley is that once the pattern completes at D, the stock will turn upward. Because you can do the math and calculate where D is going to be, you can anticipate the turn. We'll see in a moment that 86% to 90% of Gartleys turn upward at D. So be patient and see if D forms where you expect.

When it's clear that the stock has found a bottom at D or is making its move higher, then buy the stock. Ride it upward. Table 38.3 provides guidance on how far price might climb, based on the Gartley turns.

Table 38.3 shows numbers important to swing traders.

How often does price turn at D? If price makes it down to D, does it turn there? Yes, and almost all of the time (86% or higher). Thus, you can depend on a Gartley seeing a reversal at D. Of course, even for a pattern with a high reversal rate, that says nothing about how far price will trend upward after D.

How many rise to…? For those turning upward at D, I mapped how often the stock climbed to the price of one of the turns. For example, point B is closest to turn D, and we see that nearly all of the time price will climb up to the price of B.